Mini Case Preparation

Capital One Canada

Canada Human Resources

Mini Case Preparation

All cases at Capital One are Interviewer led. Interviewer led cases are structured where the interviewer will give you the case background/context and ask you to tackle the main drivers for the case. After that, your interviewer will dive deeper into the case, assessing your analytical and conceptual skills while examining how clearly and concisely you communicate your ideas.

At Capital One, our cases typically have 3 parts.

1. Interviewer will introduce business situation and you'll start to form the case framework
2. Calculations based on Key Concepts and Drivers of the case
3. Your Recommendation

Some Helpful Tips:

- Takes notes on Key Information. You'll require a calculator, notepad and pen
- Don't be afraid to ask your interviewer clarifying questions throughout the case
- Show your work as you do it
- Talk through your thought process

Ok…it's time for you to start the case! This is an example of what our 1st round mini-cases might feel like. If you make it to our 2nd round interviews, the case structure is the same however the problem presented will be more complex.

Food Truck Mini Case

(example)

BACKGROUND

A good friend of yours is a talented young chef interested in opening a food truck in a major city. While your friend makes killer food, he's less confident on the business side of things. He's asked for your help assessing the viability of his new venture.

PROFITABILITY DRIVERS

Q1 (Asked by Interviewer): Naturally, your friend's key concern is whether or not the food truck will be profitable? What inputs would you need to see in order to assess the profitability of this venture?

Answer: *In this question, you should recognize the need to understand revenue as well as fixed and variable costs. You might talk about factors affecting revenue, fixed and variable costs, such as the availability of alternatives, foot traffic in the city, etc.*

REQUIRED ANNUAL PROFIT

Q2 (Asked by Interviewer): You did some initial research and were able to track down some information on costs associated with food trucks. The average price of a ready-to-use food truck in this market is $80,000, and the operating license is $2,500 for the first six months and $1000 for the remainder of the year. You learned that other fixed costs, including gas, insurance, and some marketing are likely to run your friend $15,000 annually. Let's assume variable costs eat up 70% of your revenue. Your friend has made it clear that he will only pursue this venture if he's able to break even within the first year. Assuming he's not yet sure what type of food he's going to make, how many pieces (e.g. hamburgers, burritos, etc.) would your friend need to sell?

With the information provided, you will be able to get as far as required revenue but not number of units sold due to a lack of pricing information. Spotting missing information is sometimes part of the interview process. Your friend isn't sure about pricing yet, so let's simplify and assume $8 per unit sold.

Food Truck Mini Case (cont'd)

(example)

REQUIRED ANNUAL PROFIT (cont'd)

Answer:
X($8*30%)-($80k+$2.5k+$1k+15k)=0*
*$2.40*X=$98,500*
X=41,042 (~112 units daily if truck was open 365 days/year)

SENSE CHECK ON B/E QUANTITY

Q3 (Asked by Interviewer): How would you assess whether or not ~41k annual units sold is a reasonable expectation?

Answer: *This is a fairly open question designed to test your conceptual thinking. Some sample ideas are below, but there are other valid responses:*

- *Industry Data*
    - *Avg units sold for trucks within same or comparable cities*
    - *Total size of food truck market/required share to b/e*
- *Consumer Data*
    - *% population eating at food trucks regularly*
    - *Preferences for specific types of cuisine*
- *Location Data*
    - *Quantity and location of alternatives – other food trucks, restaurants, etc.*
    - *Foot traffic*

Food Truck Mini Case (cont'd)

(example)

FINALIZING THE MENU

Q4 (Asked by Interviewer): Your friend has two food concepts in mind for the truck and has spent some time gathering information about food costs as well. He'd like you to help him understand which one is more desirable for him to pursue. Given the following inputs, which option is more preferable for your friend to proceed with?

Interviewer would then provide you with the information below:

Chicken Jalapeno Tacos	$10	40%
Chili Beef Tacos	$8	20%
Cheese and Veggie Tacos	$7	40%
Deluxe Dog - Fully Loaded	$12	25%
Gourmet Beef Hot Dog	$5	65%
Gourmet Turkey Hot Dog	$7	10%

Answer: *You should use this information to set up a weighted average equation and calculate the average selling price for each option:*

- *Option 1: $10*40%+$8*20%+$7*40% = $8.40*
- *Option 2: $12*25%+$5*65%+$7*10% = $6.95*

Overall, the average selling price is higher for the Spicy Taco Truck, which may or may not mean that it's the preferable option.

Food Truck Mini Case (cont'd)

(example)

Q5 (Asked by Interviewer): You have a hunch that we could sell more hot dogs than tacos given peoples' potential aversion to spicy food. How many more hot dogs would we need to sell vs. tacos in order for it to be a preferable option?

Earlier you found out that variable costs will be 70% of selling price. This assumption would stand for both options as different variable cost %s would lead to a different answer. To simplify this case, we'll assume that 70% is accurate for both options. Given that the contribution remains the same, VCs aren't necessary for this answer:

Answer: *$8.40/$6.95 = 1.21*

CLOSING THE CASE

Q6 (Asked by Interviewer): Your friend really appreciates your advice, and he's decided to proceed with opening a spicy taco food truck! He's promised you some free tacos to thank you for your hard work too. As he embarks on this journey, he asks you to outline for him the top risks he may face and some ideas as to how to mitigate them.

Answer: *There's no one right answer to this question. You should be able to articulate a couple risks and mitigation ideas. Some samples are below.*

Risk: Spicy food isn't for everyone, which was one of the concerns previously around hot dogs selling more than tacos. Mitigation idea(s): Pursue a non-spicy taco truck concept, include at least one non-spicy menu item on the menu, test out the spicy truck option but be prepared to pivot if sales aren't in line with expectations, etc.

Risk: Costs aren't what your research indicated – e.g. VCs are > 70%, fixed costs end up being more, etc. Mitigation idea(s):Keep a close eye on costs within the setup period and initial rollout phase (even though your friend isn't business-minded, this is important), take an extra step to ground out the VCs now that you've nailed down a concept and then ensure they're in line with expectations before proceeding, talk to other food truck owners about their costs like ongoing maintenance, etc.